REVENUE MEMORANDUM RULING NO. 1-2001 issued on December 5, 2001 consolidates, provides, clarifies and harmonizes the existing guidelines on the tax consequences of a non-recognition transaction consisting of a tax-free exchange of property for shares of stock under Section 40(C)(2) of the Tax Code of 1997.

The Ruling shall apply solely and exclusively to situations in which the facts are substantially similar to the following facts: 1) the Transferor is a domestic corporation which owns certain properties consisting, for example, of the following: a) land encumbered by real estate mortgage (REM), b) buildings, c) 100 shares of stock in G Corporation with a par value of P 10 per share, d) 50 shares of stock in D Corporation without par value, e) unsecured receivables, f) loans to Q ('Borrower/Mortgagor), secured by REM, and g) cash; 2) the Transferee is a domestic corporation; 3) the Transferor transfers the property to the Transferee in exchange for shares out of the unissued portion of its existing authorized capital stock, or, if such existing authorized capital stock is insufficient, out of shares from an increase in the Transferee's authorized capital stock (the Transferor does not receive any amount or property other than the aforementioned shares of the Transferee); 4) the property transferred by the Transferor-corporation constitutes less than 80% of the Transferor's assets, including cash; 5) in addition to the transfer of property, the Transferee assumes liabilities of the Transferor (the sum total of the amount of liabilities assumed, plus the amount of the encumbrance or REM on the land do not exceed the basis of the property transferred); 6) the shares are neither issued in payment for services, nor for settlement of an outstanding liability that arises from the performance of services rendered by the Transferor to the Transferee; and 7) as a result of the transfer, the Transferor acquires at least 51% of the total outstanding capital stock of the Transferee entitled to vote.

The Transferor shall not recognize any gain or loss on the transfer of the property to the Transferee. Consequently, the Transferor will not be subject to Capital Gains Tax, Income Tax, or to Creditable Withholding Tax on the transfer of such property to the Transferee. Neither may the Transferor recognize a loss, if any, incurred on the transfer. The assumption of liabilities or the transfer of property that is subject to a liability does not affect the non-recognition of gain or loss, since in this case, the total amount of such liabilities does not exceed the basis of the property transferred. In addition, the Transferee is not subject to Income Tax on its receipt of the property as contribution to its capital, even if the value of such property exceeds the par value or stated value of the shares issued to the Transferor.

The Transferor is not subject to Donor's Tax, regardless of whether the value of the property transferred exceeds the par/stated value of the Transferee shares issued to the Transferor. The Transferor is also not subject to Value-Added Tax on the transfer of the property if it is not engaged in a business that is subject to the VAT. Even if the Transferor is engaged in an activity that is subject to VAT, it is nonetheless not subject to VAT on the transfer of the property to the Transferee, since the Transferor gains control of the Transferee.

The Documentary Stamp Tax (DST) consequences of the transfer, including the time of payment of the tax are specified in the Ruling.